

income levels and more education both correlate with longer lifespans. This may not be a matter of causation (i.e., more income and education cause people to live longer), but perhaps some underlying personality trait leads some people to have a more long-term focus, and that in turn may lead them to seek more education and practice better health habits. The very fact that you are reading this somewhat technical tome on retirement income suggests you probably have a longer-term focus and can expect to live longer than the average person.

In this case, mortality data based on population-wide averages will underestimate your longevity. This is not because I think my readers are all from Lake Wobegon (where everyone is above average); rather, it is because of the important links between income, education, long-term planning, and health. Not everyone will live longer, as unfortunate accidents and illnesses will inevitably befall some along the way. But in a statistical sense, my average reader will live longer than the average person.

The Society of Actuaries (SOA) produced the 2012 Individual Annuity Mortality tables that I think will best reflect the situation for my readers. Their mortality data is for annuity purchasers, who tend to live longer than average. Those with significant illnesses tend to avoid buying annuities. The data also reflects estimates for future mortality improvements and is not based only on the situation in one year.

Exhibit 2.3 helps clarify the distinction between different mortality data sets by showing some key numbers estimated from the Social Security life table and the Society of Actuaries data. I focus on the probability of survival from age sixty-five for males, females, and at least one member of a same-aged couple for different combinations of gender. I also provide life expectancy estimates from age sixty-five for each of these groups.

In terms of remaining life expectancy at sixty-five, the Society of Actuaries data generally shows individuals living about four to five years longer. With SSA data, men can expect to live 17.8 more years to 82.8, while women can expect 20.3 more years to 85.3. For an opposite-sex couple, the longest-living member can expect 24.1 more years to age 89.1, on average. Incidentally, these numbers are 22.7 years for two males and 25.3 years for